95,000 MSME PLASTIC PROCESSORS making packaging materials, pipes and container bottles hit as imports of crude-based raw materials are disrupted



SUMIT KUMAR

STRAINED OPERATIONS A cables factory in Lucknow

MANUFACTURING AND MSMEs

HEADING FOR A SLOWDOWN

Manufacturers face rising freight costs, gas shortages and stalled exports, as war tensions play havoc on India's MSME ecosystem

By SONAL KHETARPAL

For Delhi-based exporter Pankaj Bansal, the disruption has been punishing. Bansal, who ships engineering goods and agri commodities across the Middle East, US and Europe, has seen freight costs surge manifold due to war surcharges. The cost of sending a container to Dubai has jumped from $150 (Rs 14,000) to $2,500 (Rs 2.35 lakh); for refrigerated cargo, it has spiked from $900 (Rs 84,000) to $7,000 (Rs 6.58 lakh). "Due to higher freight costs, buyers from the Middle East and even the US are either cancelling orders or seeking postponements," he says.

What is unfolding for Bansal is an early signal of a wider shock—the spillover of the tensions in West Asia into India's manufacturing ecosystem. From ceramics and foundries to plastics and apparel, smaller businesses are the first to feel the pressure, with production cuts, supply disruptions and early signs of shutdowns already visible.

The Rs 53,000-crore ceramic tiles industry relies heavily on propane and natural gas for production. "Currently, around 400 LPG-run MSME (Micro, Small and Medium Enterprises) units of the 750 in Morbi, Gujarat, the second-largest tile cluster in the world, are shut down," says Haresh Bopaliya, president of the Morbi Ceramic Association (Wall Tiles Division). The remaining 350 units, which use natural gas pipelines, are operational but have scaled back production, he says. As a result, most